

Multiple Choice (10 marks)

1. Explain the two arguments that have always been advanced for a special policy towards farmers.
 - (a) Climate change adaptation and biotechnology
 - (b) International trade and subsidies competition
 - (c) Agricultural sustainability and urbanization pressures
 - (d) Land reform and rural infrastructure development
 - (e) Technological innovation and market expansion
2. There is a strong demand for welders in California but Bill an unemployed welder lives in New York. Bill is
 - (a) frictionally unemployed.
 - (b) voluntarily unemployed.
 - (c) considered to be a hidden worker.
 - (d) underemployed.
 - (e) structurally unemployed.
3. If nominal GDP equals \$6000 and the GDP deflator equals 200 then real GDP equals
 - (a) \$4,000
 - (b) \$6,000
 - (c) \$12,000
 - (d) \$2,000
 - (e) \$1,200
4. What does the Harrod-Domar model, taken with the Keynesian theory of savings, imply for the growth rates of poor countries?
 - (a) Rich and poor countries will experience the same growth rates regardless of savings rates
 - (b) Poor countries will have fluctuating growth rates independent of savings
 - (c) The level of technology determines growth rates, not savings
 - (d) The level of income has no impact on savings
 - (e) Savings have no correlation with growth rates in any country
5. Which of the following will increase wages for tuba makers?

- (a) A decrease in the cost of tuba-making materials
- (b) An increase in the number of graduates at tuba maker training school
- (c) An increase in the tax on tubas
- (d) An increase in the number of tuba maker training schools
- (e) An increase in the price of tubas

True / False (10 marks)

Answer True or False

- 6. True or False: In a pure capitalism system, consumer preferences may inadequately address the production of goods and services that cannot be individually provided.
- 7. True or False: A celebrity's income from endorsements is classified as transfer earnings due to its dependence on market value rather than uniform pay.
- 8. True or False: A kinked demand curve implies that firms do not adjust output in response to changes in competitors' prices.
- 9. True or False: Per capita figures measure growth more accurately and reflect changes in individual welfare within an economy.
- 10. True or False: The trade deficit account measures only the import and export of goods and services, excluding financial transactions between nations.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Analyze the loan transaction between Mr. Riley and Mr. Gillis, calculating both the nominal and real interest rates while discussing the implications of inflation on the value of money over the period.
- 12. Discuss the implications for transfer earnings and economic rent when land is designated for a single use, providing a detailed analysis of the underlying economic principles.

End of Paper